

TRANSACTION COST SCHEDULE — EVERY LINE

Asterial Limited · €20m for 20 per cent · DRAFT for discussion, 31 August 2026. So that no cost of this transaction is discovered after it has been committed to. Estimated market ranges for budgeting; none is a quotation and no adviser has been approached.

#	Cost item	Borne by	Low	High
1	Investor arrangement or administration fee — up to 2% of funds advanced, charged by the funder to cover its own costs. Not yet confirmed.	Company	€0	€400,000
2	Investor legal costs contribution — standard practice, must be capped at a hard figure	Company	€75,000	€125,000
3	Origination / success fee — 2% for sourcing and closing the terms, part deferred	Company	€300,000	€400,000
4	Company legal — term sheet, subscription and shareholders agreement, new constitution, disclosure letter, warranties, completion	Company	€125,000	€250,000
5	IP assignment, licence and boundary definition	Company	€40,000	€120,000
6	Tax structuring and tax due diligence , including the founder allocation	Company	€30,000	€75,000
7	Financial due diligence — investor-appointed	Company	€45,000	€110,000
8	Technical, product and EU AI Act diligence	Company	€40,000	€120,000
9	Commercial and market diligence , if required	Company	€0	€90,000
10	Accounts and management information to diligence standard	Company	€15,000	€50,000
11	Valuation report , if required for share option or tax purposes	Company	€0	€25,000
12	CRO filings, company secretarial, share issue mechanics	Company	€3,000	€12,000
13	Directors and officers insurance , first year	Company	€5,000	€25,000
14	Corporate finance adviser — EXCLUDED . The investor is sourced and the price is agreed; diligence and process are managed internally	—	NIL	NIL
Sub-total			€678,000	€1,802,000
15	Irrecoverable VAT at 23% on professional fees. Arrangement fee and insurance are typically exempt. Recoverable only against taxable supplies — confirm with accountants	Company	€154,790	€316,710
TOTAL COST OF THE TRANSACTION			€832,790	€2,118,710

THE THREE LINES TO LOOK AT FIRST

- **Line 1, the arrangement fee.** The largest unknown here. Not confirmed, and worth up to €400,000.
- **Line 3, the origination fee.** Real value was delivered and should be paid for. Two per cent is the right order for sourcing and closing terms without running the process.
- **Line 15, VAT.** Recoverable only against taxable supplies. If not, it is a hard cash cost of up to €316,710.

WHAT IS LEFT, AND WHAT MUST BE SETTLED

WHAT IS LEFT

	Low cost case	Central	High cost case
Funds raised	€20,000,000	€20,000,000	€20,000,000
less founder allocation	(€2,200,000)	(€2,200,000)	(€2,200,000)
less total transaction costs	(€832,790)	(€1,450,000)	(€2,118,710)
Available to deploy	€16,967,210	€16,350,000	€15,681,290

The €16.0m to €16.5m working assumption holds in the central case. It does not hold in the high case. The line that breaks it is item 1. If the funder charges a 2 per cent arrangement fee *and* a 2 per cent origination fee is paid, that is **€800,000 of fee on the same €20m, or 4 per cent, before a single lawyer has been instructed.** Establish whether an arrangement fee is being charged, and at what rate, before the term sheet is agreed.

THE FIVE THINGS THAT BELONG IN THE TERM SHEET, NOT AFTER IT

- **The arrangement fee.** Charged or not, at what rate, and deducted at drawdown or invoiced? Deducted at source, the company receives less than €20m while issuing shares for €20m.
- **A hard cap on the investor's legal costs.** A number, not "reasonable costs". €100,000 to €125,000 is fair here. Uncapped, the line has no ceiling.
- **Who bears costs if it does not complete.** Most of the spend is incurred before completion and stays payable either way.
- **The founder allocation and how it is structured.** A secondary share sale is a capital disposal; paid out of the company it is likely income. On €2.2m that is roughly €400,000 of tax. An agreed term, not an assumption.
- **Whether every cost is properly the company's.** Fees referable to the founder's personal share sale sit personally. Straightforward now, uncomfortable at completion.

WHAT WE HAVE DELIBERATELY NOT INCLUDED

- **Recruitment and search fees** for the technical team. A separate mandate, separately priced and papered, and an **operating cost out of the deployed funds**, not a transaction cost. 20 to 25 per cent of first-year package on contingency, 25 to 30 per cent retained. **Never bundle it into a success fee.**
- **Ongoing cost of the investor relationship** — board reporting, investor director, management accounts, probable audit. **€50,000 to €100,000 a year, permanently.**

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